VENDOR GOVERNANCE INTELLIGENCE

Vendor Dependency Debt in Tokenization Programs

Four Structural Gaps That Break Vendor Governance

DEFINITION

Vendor Dependency Debt is the accumulated operational risk created when vendors are onboarded without a unified governance layer. It builds silently — across contracts, SLAs, and escalation paths that were never designed to work together.

WHERE IT ACCUMULATES

Layer 2 (Structure & Contracts): MSA and SLA framework defined — or not. If vendor governance structure is absent at L2, every subsequent layer inherits the gap.

Layer 4 (Build & Audit): Multiple vendors introduced simultaneously — smart contract auditors, KYC/AML providers, custody infrastructure, banking integration partners. Each manages its own SLA, its own definition of a blocker, its own escalation path. Without a unified governance layer, fragmentation is invisible until it affects a delivery gate.

Layer 7 (Post-Launch, Steady State & Continuity): The debt becomes structural. SLAs with no enforcement mechanism. Single points of failure with no fallback. Vendor escalation chains that break under operational pressure.

FOUR STRUCTURAL GAPS

01 No unified escalation owner

Each vendor contract names a contact. No single owner is responsible when multiple vendors are involved in the same incident. When a breach occurs, vendors point at each other. The program has no authority to resolve it.

02 SLA without enforcement mechanism

The SLA is signed. The penalty clause exists. No one monitors breach in real time. By the time a breach is formally identified, the regulatory reporting deadline has passed.

03 No sub-vendor visibility

Your custody provider depends on a sub-custodian. Your KYC platform uses a third-party identity verification engine. You have no contractual sight of these dependencies. An outage two layers down surfaces as your incident.

04 Governance evidence missing at audit

A regulator asks for evidence of vendor oversight. What exists: contracts and invoices. What is required: oversight records, SLA performance data, escalation logs, annual vendor review documentation. The gap is not a compliance failure — it is a governance architecture failure.

WHAT THE FRAMEWORK ADDRESSES

Vendor governance structure is established before the first vendor goes live — not after the first incident. That means a master services agreement with defined SLA obligations, a single named escalation owner across all vendors, and a sub-vendor disclosure requirement built into every contract. SLA monitoring is operational, not contractual: someone owns it, tracks it, and escalates when it breaks. Vendor dependency mapping is a delivery artefact — reviewed at every layer gate, not filed and forgotten.

Vendor contracts are not vendor governance. The Execution Gap Framework defines the governance layer that sits above the contracts.

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